

818 CAPITAL PARTNERS

Built by Operators. Built for Operators.

The 2026 DSCR Investor Playbook

Requirements. Rates. Strategies.

From a direct lender that closes in 14 days.

12+

Lenders
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9

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"The question we ask is not 'How many deals have you done?' -- it is 'How many deals could you do, with the right partner?'"

-- Ravi Punni, Founder & Principal, 818 Capital Partners

CHAPTER 1

What Is DSCR and Why It Matters in 2026

DSCR = Monthly Rental Income / Monthly PITI

That one ratio determines whether your investment property qualifies for a loan without you ever showing a tax return, W-2, or pay stub. The property either pays for itself or it doesn't.

In 2026, DSCR lending is more competitive than it has been in three years. Here is why that matters to you:

- **Rates are compressing.** More capital partners are entering the DSCR space, which means better pricing for borrowers. We are seeing 50-75 basis point improvements over 2025 on equivalent profiles.
- **Programs are expanding.** No-ratio, sub-1.0, interest-only, and 40-year terms are now available from multiple lenders.
- **STR income acceptance is widening.** More lenders now accept AirDNA and actual booking revenue for DSCR qualification.
- **Portfolio programs are maturing.** Blanket loans for 5-10 and 10+ property portfolios are more accessible, with better rate tiers for scaled investors.

If you have been waiting for a better window to acquire, refinance, or scale -- 2026 is the year to move.

THE DSCR SPECTRUM



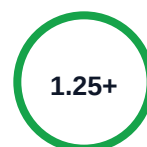
No-Ratio



Sub-1.0

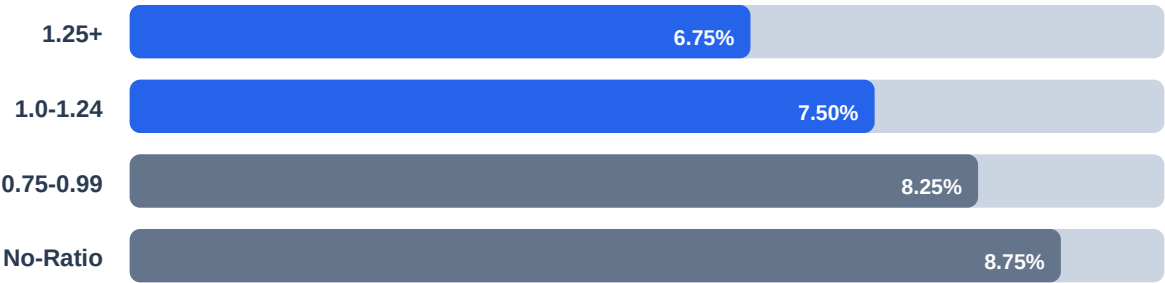


Break-even



Sweet Spot

Rate Impact by DSCR Ratio



* Rates shown for 740+ credit, 75% LTV, 30-year fixed. Actual rates vary by lender and deal structure.

CHAPTER 2

2026 DSCR Qualification Requirements

Credit Score Tiers

Your credit score is the single biggest lever on your rate and available programs.

Credit Score	Rate Range	Max LTV	Program Access
740+	6.75% - 7.50%	80%	All programs including I/O and no-ratio
720-739	7.00% - 7.75%	80%	Most programs, minor rate bump
700-719	7.25% - 8.00%	80%	Standard programs, some I/O restrictions
660-699	7.75% - 8.50%	75%	Limited options, no sub-1.0 or no-ratio
620-659	8.25% - 9.25%	70%	Entry level, higher reserves required

LTV Tiers and Rate Impact

Every 5% step in LTV changes your rate. Here is the general structure:

LTV	Rate Adjustment	Notes
65%	-25 to -50 bps vs 75%	Lowest risk, best rates available
70%	-12.5 to -25 bps vs 75%	Sweet spot for many borrowers
75%	Baseline	Standard. Where most DSCR loans land
80%	+25 to +50 bps vs 75%	Requires 720+ credit, 1.0+ DSCR
85%	+50 to +75 bps vs 75%	Rare. 740+ credit, 1.25+ DSCR, strong reserves

Property Types

DSCR loans cover more property types than most investors realize:

- **Single-family residences (SFR)** -- The bread and butter. Best pricing and highest LTV.
- **2-4 unit properties** -- Most lenders treat these the same as SFR.
- **Condos (warrantable)** -- Widely available. Must meet basic warrantability standards.
- **Condos (non-warrantable)** -- Available from some lenders. 25-50 bps premium.
- **Townhomes** -- Treated like SFR if fee-simple ownership.
- **5+ unit (small multifamily)** -- Growing segment. 50-100 bps higher than SFR DSCR.
- **Manufactured housing** -- Limited. Permanent foundation required. 65-70% max LTV.

Entity Requirements

Entity Type	Lender Acceptance	Rate Impact	Best For
LLC	Universal	None	Default choice for 90% of investors
Land Trust	Some lenders	None when accepted	Privacy protection
Individual	Universal	None	Simplicity (no asset protection)
Rev. Living Trust	Most lenders	None	Estate planning
S-Corp	Limited	+12.5-25 bps	Tax optimization
Series LLC	Limited	Varies	Multi-property isolation (~12 states)

Minimum DSCR Thresholds by Program

Program	Min DSCR	Typical Requirements
Standard DSCR	1.0	1.25+ for best pricing. Most lender options.
Sub-1.0 Programs	0.75	25-30% down, 700+ credit required
No-Ratio Programs	N/A	720+ credit, 25%+ down, 9-12 mo reserves
Interest-Only DSCR	1.0 (on I/O payment)	Improves qualifying DSCR significantly

Reserve Requirements

Reserves are liquid assets you need to show after closing:

Reserve Level	When Required	Eligible Assets
3 months PITI	740+ credit, 1.25+ DSCR, <=75% LTV	Checking, savings, investments
6 months PITI	Standard for most DSCR programs	Checking, savings, investments, retirement (60-70%)
9 months PITI	660-699 credit or 80%+ LTV	Same as above
12 months PITI	Sub-1.0 DSCR, no-ratio, or low credit + high LTV	Same as above

Ready to Run Your Numbers?

Submit your deal to the 818 Capital Scenario Desk and get an AI-powered analysis with specific terms from 12+ capital programs.

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CHAPTER 3

Rate Comparison Matrix

Rates by DSCR Ratio

Baseline: 740+ credit, 75% LTV, 30-year fixed

DSCR Ratio	Rate Range	Rate vs 1.25 Baseline
1.50+	6.50% - 7.25%	-12.5 to -25 bps
1.25 - 1.49	6.75% - 7.50%	Baseline
1.00 - 1.24	7.00% - 7.75%	+12.5 to +37.5 bps
0.75 - 0.99	7.50% - 8.50%	+50 to +100 bps
No-Ratio	7.25% - 8.25%	+50 to +75 bps

Rates by LTV

Baseline: 740+ credit, 1.25+ DSCR

LTV	Rate Range	Monthly Payment on \$300K Loan
65%	6.50% - 7.25%	\$1,896 - \$2,048
70%	6.75% - 7.50%	\$1,946 - \$2,098
75%	7.00% - 7.75%	\$1,996 - \$2,148
80%	7.25% - 8.00%	\$2,048 - \$2,201

Rates by Credit Score

Baseline: 75% LTV, 1.25+ DSCR

Credit Score	Rate Range	Annual Cost Difference on \$300K
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740+	6.75% - 7.50%	Baseline
720-739	7.00% - 7.75%	+\$750 - \$1,500/year
700-719	7.25% - 8.00%	+\$1,500 - \$3,000/year
660-699	7.75% - 8.50%	+\$3,000 - \$4,500/year
620-659	8.25% - 9.25%	+\$4,500 - \$7,500/year

Rate Buydowns: When Paying Points Makes Sense

Most DSCR lenders offer rate buydown options. The typical cost is 1 point (1% of loan amount) for a 25 bps rate reduction.

When paying points **MAKES** sense:

- **Long hold period.** If you plan to hold 5+ years, breakeven is usually 2-3 years.
- **Cash flow optimization.** A 25 bps reduction can move your DSCR from 0.95 to 1.05.
- **Marginal deals.** When cash-on-cash return is tight, buying down makes the deal pencil.

When paying points does **NOT** make sense:

- **Short hold (under 3 years).** You will not recoup the upfront cost.
- **Refinance likely.** Do not pay for a rate you will not keep.
- **Cash-constrained.** If points deplete reserves below lender minimums, take the higher rate.

ARM vs Fixed: When to Use Each

Product	Rate vs 30yr Fixed	Best For	Risk
30-year Fixed	Baseline	Buy-and-hold investors	None -- rate locked for life
5/1 ARM	-50 to -75 bps	Sell or refi within 5 years	Rate resets after year 5
7/1 ARM	-25 to -50 bps	Medium-term holds	Rate resets after year 7
Interest-Only	Varies	Max cash flow	No equity build through amortization

CHAPTER 4

No-Ratio and Sub-1.0 DSCR Programs

What "No-Ratio" Means

In a no-ratio DSCR program, the lender does not calculate the DSCR at all. Qualification is based entirely on:

- Credit score (typically 720+ minimum)
- LTV (typically 75% max)
- Reserves (9-12 months minimum)
- Property type and condition

No-ratio works best for properties where the market rent does not support a 1.0 DSCR but the investment thesis is sound -- appreciation markets, value-add plays, or STR conversions.

Sub-1.0 Programs: The Tradeoffs

Factor	Standard DSCR (1.0+)	Sub-1.0 DSCR
Down Payment	20-25%	25-35%
Credit Score	660+	700+
Reserves	3-6 months	9-12 months
Rate Premium	Baseline	+50-100 bps
Lender Options	Most lenders	Fewer lenders

When Negative Cash Flow Makes Strategic Sense

- **Appreciation markets.** In markets growing 8-12% annually, a modest \$200-400/month shortfall can be a reasonable cost of holding an appreciating asset.

- **Value-add plays.** A property renting at \$1,800 that will rent for \$2,400 after upgrades -- sub-1.0 at purchase becomes 1.2+ after stabilization.
- **STR conversion.** A 0.9 DSCR on long-term comps might produce 1.5+ as a short-term rental.
- **Tax strategy.** Depreciation and interest deductions may make total return positive even when cash flow is negative.

CHAPTER 5

STR Income for DSCR Qualification

How Lenders Calculate STR Income

Method	Data Source	When Used	Reliability
AirDNA / Market Data	Third-party projections	Purchases (no history)	Moderate
Actual Revenue	Airbnb/VRBO statements	Existing STR operations	High
Lease Comp	Long-term rental comps	Conservative underwriting	Low (understates STR value)

Income Lookback Periods

- **12-month average** -- Most common. Smooths seasonality. What most lenders prefer.
- **3-month trailing** -- Some lenders accept for new STR conversions. Favorable in peak season but risky if income is seasonal.
- **Gross vs net.** Most lenders use gross booking revenue minus platform fees and cleaning costs. Clarify before modeling.

Occupancy Rate Assumptions

Lender Type	Assumed Occupancy	Impact on \$4,000/mo Gross
Conservative	65-70%	\$2,600-2,800/month qualifying income
Moderate	70-75%	\$2,800-3,000/month qualifying income
Aggressive	75-80%	\$3,000-3,200/month qualifying income

The assumed occupancy rate can mean the difference between a 1.25 DSCR and a 0.95 DSCR.

Ready to Run Your Numbers?

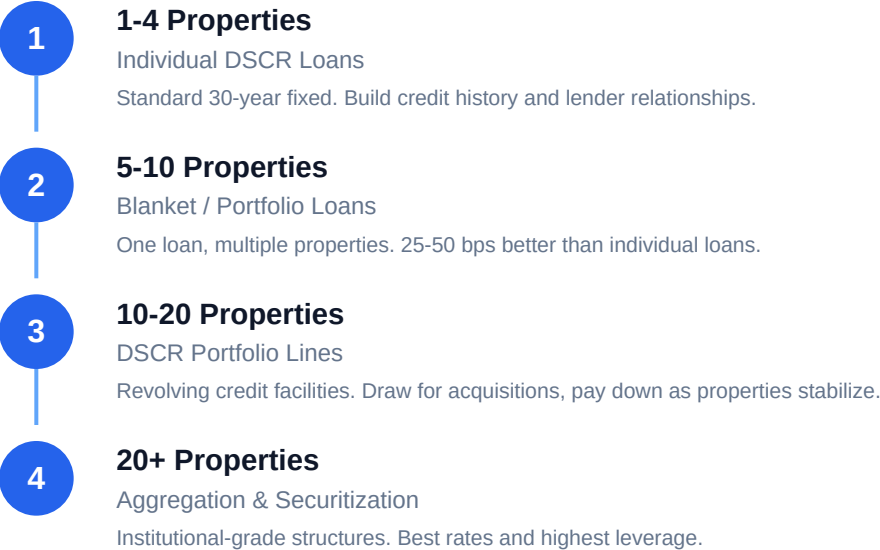
Submit your deal to the 818 Capital Scenario Desk and get an AI-powered analysis with specific terms from 12+ capital programs.

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CHAPTER 6

Portfolio Scaling Strategies

THE PORTFOLIO SCALING LADDER



The Waterfall Strategy

The most effective portfolio investors ladder their DSCR products:

Step	Action	Product	Outcome
1	Acquire	Individual DSCR at 75% LTV	Property secured
2	Stabilize	Rehab + tenant placement	6-12 months seasoning
3	Refinance	Blanket loan with 4-5 properties	Better terms + equity extraction
4	Extract	Cash-out from blanket refi	Capital for next acquisition
5	Repeat	Start cycle again	Each cycle improves avg cost of capital

CHAPTER 7

Entity Structuring

Choosing the right entity structure impacts your rate, liability protection, and tax treatment.

LLC: The Standard

Most DSCR borrowers close in an LLC. **Liability protection** shields personal assets. **Tax flexibility** -- can elect sole proprietor, partnership, S-corp, or C-corp. **Transferability** -- membership interests can transfer without triggering due-on-sale. Rate impact: None.

Land Trust

Provides anonymity -- the trust holds title, beneficial owner not on public record. Accepted by some lenders, not all. The beneficiary typically needs to personally guarantee. Most useful in Florida, Illinois, Virginia.

S-Corp / C-Corp

Uncommon for DSCR. S-Corps occasionally used for active RE businesses. C-Corps rare except for institutional/foreign national buyers. Rate impact: 12.5-25 bps premium. Fewer lender options.

Series LLC

Creates multiple "series" within a single LLC, each with isolated assets and liabilities. Available in Texas, Delaware, Nevada, Illinois, and others. Not all lenders understand or accept Series LLCs -- have a backup structure ready.

CHAPTER 8

Exit Strategy Planning

When to Refinance

- **Rates drop 75+ bps** below your current rate. Breakeven is typically 12-18 months.
- **Equity has built up.** Cash-out refi lets you extract equity for the next deal.
- **Seasoning requirements are met.** Most lenders require 6-12 months from acquisition.
- **ARM reset approaching.** Start shopping the refi 12 months before reset.

When to Sell

- **1031 exchange timing works.** Replacement property identified, defer capital gains.
- **Market at cycle peak.** Cap rates compressed, prices elevated relative to rents.
- **Major capex looming.** Roof, HVAC, foundation -- sell before those costs hit.
- **Cash flow deteriorated.** Rent growth stalled, taxes/insurance spiked.

When to Hold

- **Cash flow positive and stable.** No reason to sell.
- **Tax benefits significant.** Depreciation + interest deductions make it attractive after-tax.
- **Appreciation trajectory strong.** Population growth, job growth, supply constraints.
- **Refinancing available.** Extract equity via refi without triggering taxable event.

Seasoning Requirements by Lender Type

Seasoning	Use Case	Availability
3 months	Rate-term refinance	Some DSCR lenders, limited options
6 months	Rate-term refinance	Standard. Most DSCR lenders.
12 months	Cash-out refinance	Required by most lenders

No seasoning	Cash-out (BRRRR strategy)	50-75 bps premium, very few lenders
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CHAPTER 9

Real Deal Examples

Example 1: The Suburban SFR Cash Flow Play

Metric	Value
Purchase Price	\$310,000
Monthly Rent	\$2,650
LTV	75%
Rate	7.25%
Monthly PITI	\$2,100
DSCR	1.26
Cash-on-Cash	9.2%

Investor acquired a single-family rental in a growing suburban market. 720 credit score, 6 months reserves. Straightforward underwriting. Closed in 17 days.

Example 2: The STR Conversion

Metric	Value
Purchase Price	\$425,000
LTR Comps	\$2,200/mo (0.88 DSCR)
STR Projections	\$3,800/mo avg
Qualifying DSCR	1.44 (using AirDNA)
LTV	75%

Long-term rent comps didn't work. AirDNA projections at 70% occupancy turned a non-qualifying deal into a well-qualifying one. The STR income approach was the difference.

Example 3: The Portfolio Blanket Refinance

Metric	Value
Properties	7 individual DSCR loans
Avg Rate Before	7.75%
Blanket Rate After	7.125%
Monthly Savings	\$1,200
Equity Extracted	\$120,000
New Portfolio DSCR	1.41

Consolidated 7 individual loans into a blanket at a 62.5 bps improvement. The extracted equity funded the next two acquisitions.

Example 4: The Sub-1.0 Value-Add

Metric	Value
Purchase Price	\$275,000
Initial Rent	\$1,600/mo
Initial DSCR	0.91
Rehab Investment	\$25,000
Post-Rehab Rent	\$2,100/mo
Post-Refi DSCR	1.22

Sub-1.0 program with 30% down. After \$25K in cosmetic upgrades, rent increased \$500/mo. Refinanced into standard DSCR at 75% LTV. Cash flow went from -\$140 to +\$380/month.

BONUS CHAPTER

DSCR Calculation Deep Dive

Step-by-Step DSCR Calculation

Let us walk through a complete DSCR calculation using a real-world example:

Property: 3BR/2BA Single-Family Rental

Purchase price: \$350,000 | Loan amount: \$262,500 (75% LTV) | Rate: 7.25% | 30-year fixed

Step 1: Calculate Monthly Debt Service (PITI)

Component	Annual	Monthly	How Calculated
Principal + Interest	\$21,480	\$1,790	Based on \$262,500 at 7.25%, 30yr amortization
Property Taxes	\$4,200	\$350	From county tax records or appraisal
Homeowners Insurance	\$1,800	\$150	From insurance quote
HOA (if applicable)	\$0	\$0	N/A for this property
Total PITI	\$27,480	\$2,290	Sum of all components

Step 2: Determine Monthly Rental Income

The lender uses the LESSER of: (a) the appraiser's estimated market rent (from the 1007 rent schedule), or (b) the actual lease amount if the property is currently leased.

In this example: Appraiser estimates \$2,800/month. Current lease is \$2,750/month. Lender uses \$2,750.

Step 3: Calculate DSCR

DSCR = \$2,750 / \$2,290 = 1.20

This deal qualifies for standard DSCR programs (1.0+ threshold) but falls just below the 1.25 sweet spot for best pricing. Options to improve the DSCR:

- Negotiate a higher rent (\$2,875/mo = 1.25 DSCR)
- Increase down payment to reduce loan amount (80% to 75% LTV)
- Buy down the rate by 25 bps to reduce monthly P&I;
- Challenge the tax assessment if it seems high
- Shop insurance for a lower premium

Common DSCR Calculation Mistakes

- **Using gross rent instead of net.** Some investors forget that the DSCR uses the appraiser's estimate or actual lease, not the Zillow Zestimate or asking rent.
- **Forgetting HOA fees.** HOA fees are included in the PITI calculation. A \$300/month HOA can tank your DSCR.
- **Not accounting for flood insurance.** If the property is in a flood zone, flood insurance premiums must be included in PITI.
- **Using the wrong tax number.** Use the ACTUAL tax bill, not the assessed value times the current tax rate. Tax reassessment after purchase can change this.
- **Mixing up interest-only and amortizing.** If your loan has an I/O period, the DSCR is calculated on the I/O payment -- not the fully amortizing payment. This significantly improves your qualifying DSCR.

BONUS CHAPTER

The BRRRR Strategy with DSCR Loans

BRRRR stands for Buy, Rehab, Rent, Refinance, Repeat. It is the most capital-efficient way to scale a rental portfolio -- and DSCR loans are the refinance engine that makes it work.

How BRRRR Works with DSCR

Phase	Financing	Timeline	Key Metric
Buy	Hard money or bridge loan	Day 1	Purchase + rehab budget
Rehab	Draw from bridge loan	Months 1-3	Stay on budget and timeline
Rent	Market the property	Month 4	Achieve target rent
Refinance	DSCR loan (cash-out)	Month 6-12	ARV appraisal + DSCR ratio
Repeat	Deploy extracted capital	Month 7-13	Reinvest into next deal

BRRRR Deal Economics Example

Metric	Amount	Notes
Purchase Price	\$200,000	Distressed SFR
Rehab Budget	\$40,000	Kitchen, bath, flooring, paint
All-In Cost	\$240,000	Total capital deployed
Bridge Loan (85% LTC)	\$204,000	Out-of-pocket: \$36,000 + closing
After-Repair Value (ARV)	\$320,000	Based on renovated comps
DSCR Refi (75% of ARV)	\$240,000	Pays off bridge completely

Monthly Rent (post-rehab)	\$2,400	Market rate for renovated unit
Monthly PITI	\$1,950	Based on \$240K at 7.25%
DSCR	1.23	Qualifies for standard DSCR
Capital Left in Deal	\$0	Infinite cash-on-cash return

In this example, the investor recovers 100% of their capital through the DSCR refinance and retains a property that cash flows \$450/month. The original \$36,000 out-of-pocket is fully recycled into the next deal.

Critical BRRRR Success Factors

- **Accurate ARV estimate.** Your entire refi depends on the post-rehab appraisal. Be conservative. Use 3-5 recent, comparable sales within 0.5 miles.
- **Rehab budget discipline.** Every dollar of cost overrun is a dollar you leave in the deal. Build in a 10-15% contingency.
- **Seasoning awareness.** Most DSCR lenders require 6-12 months seasoning for cash-out. Plan your bridge loan term accordingly.
- **Rent verification.** The DSCR lender will verify market rent through an appraisal. If your projected rent is aggressive, you may not qualify.
- **Speed matters.** The longer you hold the bridge loan, the more interest you pay. Fast rehab = lower carrying costs = better BRRRR economics.

Ready to Run Your Numbers?

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BONUS CHAPTER

10 Mistakes That Kill DSCR Deals

1. Overestimating Rent

Using Zillow or Rentometer estimates instead of actual comps. The appraiser will provide a rent schedule based on comparable leases -- and it is almost always lower than your optimistic projection. Always underwrite conservatively and let upside surprise you.

2. Ignoring Insurance Costs

Insurance premiums have increased 30-50% in many markets since 2023. If you are using a 2-year-old insurance quote, your actual DSCR could be 0.10-0.15 lower than projected. Get a real quote before submitting your scenario.

3. Not Shopping Rates

DSCR rates vary by 75-150 bps across lenders for the exact same deal. A borrower who goes with the first quote is almost certainly leaving money on the table. This is exactly why working with an advisor who has 12+ capital programs matters.

4. Forgetting Prepayment Penalties

Many DSCR loans come with 3-5 year prepayment penalties (typically a step-down: 5-4-3-2-1 or 3-2-1). If you plan to sell or refi within that period, the prepay penalty can eat your profit. Always negotiate the prepay structure.

5. Wrong Entity at Closing

Setting up the entity after the loan is in process causes delays. Have your LLC formed, EIN obtained, and operating agreement ready BEFORE you submit your application. Entity issues are the number one cause of closing delays.

6. Insufficient Reserves

Running your bank accounts down to fund the down payment, then not having enough for reserves. Reserves are verified at closing, not at application. If you drain your accounts for the down payment, you may not close.

7. Not Disclosing Other Properties

Lenders pull a credit report and see every mortgage. If you have undisclosed properties, it creates a trust issue that can tank the deal. Disclose everything upfront -- even properties with their own financing.

8. Ignoring Tax Reassessment

When you buy a property, the county will reassess the property tax based on the purchase price. If you are using the seller's tax bill (which may reflect a much lower assessed value), your actual DSCR after reassessment could drop significantly.

9. Assuming All Lenders Are the Same

DSCR lenders specialize. Some are better for STR, others for portfolio loans, others for sub-1.0 deals. Using a lender that does not specialize in your deal type means worse terms and a higher risk of denial.

10. Waiting Too Long to Lock

Rates move. In the time between your quote and your lock, rates can shift 25-50 bps. Once you have a term sheet you like, lock it. The cost of floating and getting a worse rate is almost always higher than the cost of locking.

BONUS CHAPTER

2026 DSCR Market Outlook

What is Driving the Market

The DSCR lending market in 2026 is being shaped by several macro forces that investors need to understand:

- **More capital entering the space.** Private credit funds, insurance companies, and securitization vehicles are all allocating more to DSCR. More supply of capital means better pricing for borrowers.
- **Rate normalization.** The Fed funds rate has stabilized, and 10-year Treasury yields have settled into a range that supports DSCR rates in the 6.5%-8.5% band. We do not expect significant rate movement in either direction through 2026.
- **Rent growth moderating.** After 3 years of aggressive rent growth (2021-2023) and a correction (2024), rents are growing at 3-5% nationally in 2026. This is healthy and sustainable but means investors cannot count on massive rent jumps to improve DSCR after closing.
- **Insurance cost headwinds.** Property insurance remains elevated, particularly in coastal and disaster-prone markets. This is the single biggest headwind for DSCR deals in 2026. Budget accordingly.
- **STR regulation stabilizing.** After a wave of restrictive short-term rental regulations in 2023-2024, most markets have settled into their regulatory frameworks. Investors now have more clarity on where STR strategies will work long-term.

Market Opportunities in 2026

Strategy	Opportunity	Risk Level	Best Markets
SFR Buy-and-Hold	Stable cash flow, appreciation	Low	Midwest, Southeast, Texas
STR Acquisition	Premium rents, DSCR advantage	Medium	Resort, Mountain, Beach
BRRRR	Capital recycling, scale fast	Medium-High	Midwest, Mid-Atlantic
Portfolio Consolidation	Rate improvement via blanket	Low	Any market (existing portfolio)
Value-Add / Sub-1.0	Forced appreciation	High	Appreciation markets

Multifamily (5-8 unit)	Economies of scale	Medium	Northeast, Pacific NW
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Rate Forecast: Where Are Rates Heading?

Our view on DSCR rates through end of 2026:

Scenario	Probability	DSCR Rate Range	Implication
Rates stay flat	50%	6.75% - 8.50%	Current conditions persist. Good window to lock.
Rates drop 25-50 bps	30%	6.25% - 8.00%	Fed cuts, spreads compress. Great for refi.
Rates rise 25-50 bps	20%	7.25% - 9.00%	Inflation spike or credit tightening. Lock now.

Bottom line: Do not try to time the rate market. If the deal works at today's rates, do the deal. You can always refinance later if rates drop. You cannot get back the deal you lost waiting for better terms.

APPENDIX

Glossary of DSCR Terms

Term	Definition
DSCR	Debt Service Coverage Ratio. Monthly rental income divided by monthly PITI.
PITI	Principal, Interest, Taxes, and Insurance -- your total monthly housing cost.
LTV	Loan-to-Value ratio. Loan amount divided by property value, expressed as a percentage.
LTC	Loan-to-Cost ratio. Used in construction/bridge lending. Loan amount divided by total project cost.
ARV	After-Repair Value. The estimated value of a property after renovations are complete.
No-Ratio	A DSCR program where the lender does not calculate or require a specific DSCR.
Sub-1.0	A DSCR below 1.0, meaning the property's rent does not fully cover the mortgage.
Blanket Loan	A single loan secured by multiple properties.
Seasoning	The time period a borrower must wait after acquisition before refinancing.
Rate Buydown	Paying upfront points (% of loan amount) to reduce the interest rate.
I/O	Interest-Only. A loan where you pay only interest for a set period, reducing monthly payments.
ARM	Adjustable Rate Mortgage. Fixed rate for an initial period, then adjusts periodically.
Prepayment Penalty	A fee charged for paying off the loan early, typically on a step-down schedule.
Reserves	Liquid assets you must maintain after closing, measured in months of PITI.
Cross-Collateralization	Using multiple properties as collateral for a single loan.
BRRRR	Buy, Rehab, Rent, Refinance, Repeat. A strategy for scaling rental portfolios.
1031 Exchange	IRS-recognized tax-deferred exchange of like-kind investment properties.
Cap Rate	Capitalization Rate. NOI divided by property value. A measure of investment return.
NOI	Net Operating Income. Revenue minus operating expenses, before debt service.
Warrantable Condo	A condo that meets standard lending guidelines for owner-occupancy ratio, HOA finances, etc.
AirDNA	A data provider that estimates short-term rental income potential for specific properties.

BPO	Broker Price Opinion. An alternative to a full appraisal, used by some lenders.
DTI	Debt-to-Income ratio. Used in conventional lending but NOT in DSCR (where the property qualifies, not yo
Debt Yield	NOI divided by loan amount. Used in commercial lending as an additional risk metric.

APPENDIX

Quick Reference: DSCR Qualification Checklist

Use this checklist before submitting any DSCR deal:

- ☐ Property address and type confirmed
- ☐ Estimated market rent verified (check 3+ comparable leases)
- ☐ Purchase price or current value confirmed
- ☐ Loan amount and target LTV calculated
- ☐ DSCR calculated (rent / estimated PITI)
- ☐ Credit score known (pull your own report first)
- ☐ Entity formed (LLC preferred) with EIN obtained
- ☐ Operating agreement executed
- ☐ Bank statements ready (2-3 months for reserve verification)
- ☐ Insurance quote obtained (including flood if applicable)
- ☐ Property tax amount verified (check for pending reassessment)
- ☐ HOA fees confirmed (if applicable)
- ☐ Title clear (no liens, judgments, or encumbrances)
- ☐ Lease in place (or comparable rent documentation for vacant properties)
- ☐ Prepayment penalty tolerance determined
- ☐ Exit strategy defined (hold, sell, or refi timeline)

Quick Reference: Key Numbers to Know

Metric	Target	Minimum
DSCR	1.25+	0.75 (sub-1.0 programs)
Credit Score	740+	620
LTV (Purchase)	75%	65%
LTV (Max)	80%	70% (for 620-659 credit)
Reserves	6 months PITI	3 months (strong profiles)
Close Time	14-21 days	Depends on title/appraisal

NEXT STEPS

How to Get Started

This playbook gives you the framework. Now it is time to put it to work.

Step 1: Run Your Numbers. Use our DSCR Calculator at 818capitalpartners.com/dscr-loans. Plug in the property details, rent estimate, and purchase price. The calculator will tell you the DSCR, estimated rate range, and whether the deal works.

Step 2: Submit Your Scenario. Send your deal to the 818 Capital Scenario Desk. Our AI analyzes your deal against 12+ capital programs and returns a match with specific terms -- not a generic quote.

Step 3: Talk to Our Team. We do not just originate loans -- we advise on deal structure, entity setup, and portfolio strategy. If the deal does not work, we will tell you why and what would need to change.

"The question we ask is not 'How many deals have you done?' -- it is 'How many deals could you do, with the right partner?'"

818 Capital Partners

Built by Operators. Built for Operators.

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DISCLAIMER

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